

YOUR HOME MORTGAGE

And Who Can Help You Get It

You've been renting for the past 10 years since you moved out on shlichus, and now you are ready to buy your first home or Chabad House. You (are pretty sure you) know what a mortgage is, but you have no clue where to start, how to get a loan, or how to know whether you're getting the best deal. Should you go to your local bank? To a broker? Which kind? And what about direct lenders?

You can spend hundreds of hours applying to different banks and shopping around for help and for good deals, but chances are you don't have much time for that. Here is a simple breakdown of who can do what in the realm of mortgages and home loans so you can choose your help wisely.

Banks

This can be a good place to start if you already have a good rapport with your bank. As with any good relationship, when someone knows, likes, and trusts you, he'll always be more likely to go out of his way to help you.

The challenge with traditional banks is that mortgage lending is just a small piece of their overall business model, so they can be more restrictive with their underwriting and may require a lower debt-to-income ratio. Banks vary regarding the percentage of your monthly income that can be used for your mortgage payment and debt. For example, if a person earns \$1000 a month, the monthly amount can vary from bank to bank between \$380 and \$499. That's huge! Additionally, many banks don't consider rabbis' parsonage as an accepted form of income, which obviously poses a big problem for shluchim.

Another detriment to using a bank for a mortgage is that bank representatives are rarely schooled in mortgage guidelines. Yes, they will make sure every T is crossed and every I is dotted on your mortgage application, but they will not be able to walk you through the process or help you get the loan.

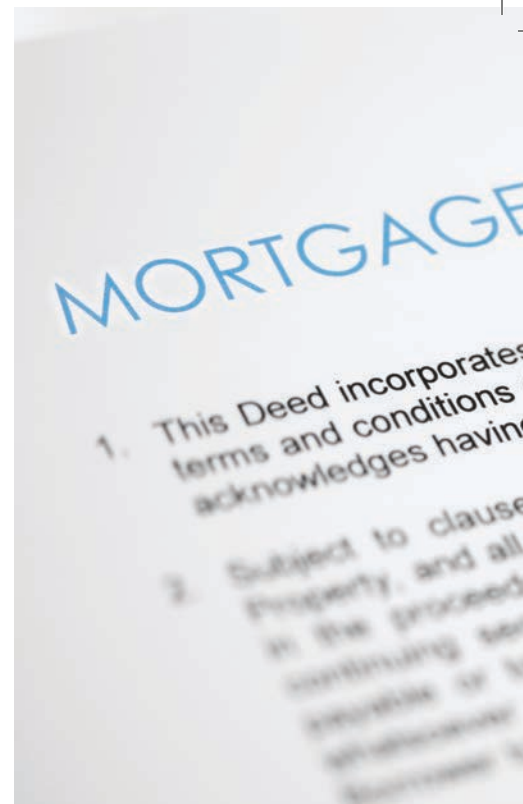
In short, to a large bank, you are probably just a number. It can sometimes be weeks before you find out that you don't fit their basic qualifications or that your loan has been structured incorrectly and subsequently denied. Even if you do have a good relationship with your bank, you will probably still need someone else to help you with all the nuts and bolts of your application.

Mortgage Brokers

A mortgage broker can be a huge help when you need someone to walk

you through the loan process. They only get paid when you get the loan, so you can trust that they are working their best to get you what you need. A seasoned mortgage broker who has access to many banks will know how each one works and can find you the best rate for your circumstances.

While using a broker brings major advantages, it comes with its disadvantages, as well. The broker takes the shopping around for banks off of your hands, but each bank still has its own process. As much as your broker wants to get you the loan, it's the bank who makes the final decision, not the broker or his company. If a loan doesn't fit one lender's guidelines, or the underwriter who got the file doesn't like the loan, the broker has to resubmit to another bank, with a whole new process, new initial disclosures, new GFEs (good faith estimates) and TILs (Truth In Lending), and sometimes even a new appraisal. This takes a lot of time, which, depending on your contract, you might not have. With many brokers today tied to a limited pool of banks, there is a chance that the broker might not be able to get you the loan at all.





Referral Brokers

Many times, you might think you're calling a broker, and this broker sends you to his "partner" who helps you with the loan. What's really happening is the so-called "broker" is just a referral person who sends you to a broker who pays him a referral fee. This is completely illegal! Plus, regardless of the fact that many have success with these brokers, the illegally referred brokers' experience levels vary, and many have been hurt and lost thousands of dollars.

Direct Lenders

Direct lenders give you a fusion of the best banks and the best brokers. They are educated on the mortgage process and can walk you through it step by step, and they are motivated to get you the loan because they only get paid once the loan closes. Perhaps the biggest plus: since they work for the lender, they have the advantage of being able to make the loan decisions. They have more control on the timing of your loan since they originate, underwrite, and close their own loans.

Specialists in working with shlichim and other nonprofit workers, loan originators like Chana Zeilingold of First Meridian Mortgage will give you the personal attention you need from a seasoned loan originator with direct access to the bank underwriter. Your loan will be structured properly with a high level of control, backed by the power of a bank who has helped hundreds of shlichim get mortgages.

Mrs. Chana Zeilingold can be reached at 845-262-1651 or azeilingold@fmm.com. •

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